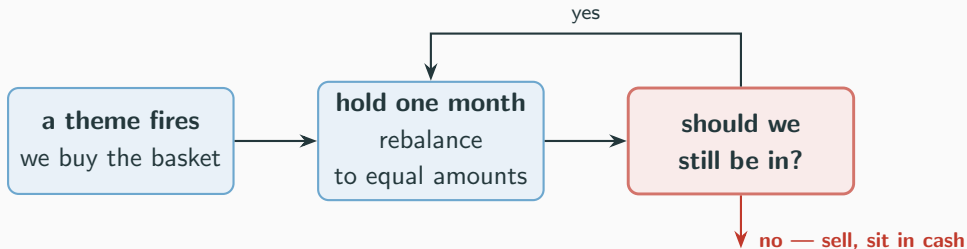


Theme Detection — updates XI

When to sell

September 2026

The piece we were missing



Everything to the left of the red box is unchanged from last time — same baskets, same monthly rebalance, same \$200m floor.

We check the question **only on the days we already stop** to rebalance, and only with information available on that day. If we sell, the money sits in T-bills for the rest of the run, so every comparison covers the same dates.

One basket, so the exit rule is the only moving part

We pick the companies whose filings use **the most of the theme's words**, take the top ten, and **drop anything worth under \$200m** on the day we buy. Equal amounts in each.

genAI — 9 of 10 kept		quantum — 6 of 10 kept	
NVDA NVIDIA Corporation	EXPE Expedia Group, Inc	IONQ IonQ, Inc	IBM International Busi
TRIP Tripadvisor, Inc	EBAY eBay Inc	QUBT Quantum Computing	RBBN Ribbon Communicati
GOOG Alphabet Inc	CRNC Cerence Inc	RGTI Rigetti Computing	BZAI Blaize Holdings, I
MYPS PLAYSTUDIOS, Inc	FFAI Faraday Future Int	QBTS D-Wave Quantum Inc	MRSH Marsh & McLennan C
APPS Digital Turbine, I	BKNG Booking Holdings I	LODE Comstock Inc	AMPG AmpliTech Group, I

Red = removed by the size floor. One of three ways we know how to build the basket; the other two behave the same way under every rule that follows.

How we tell whether a theme is still alive

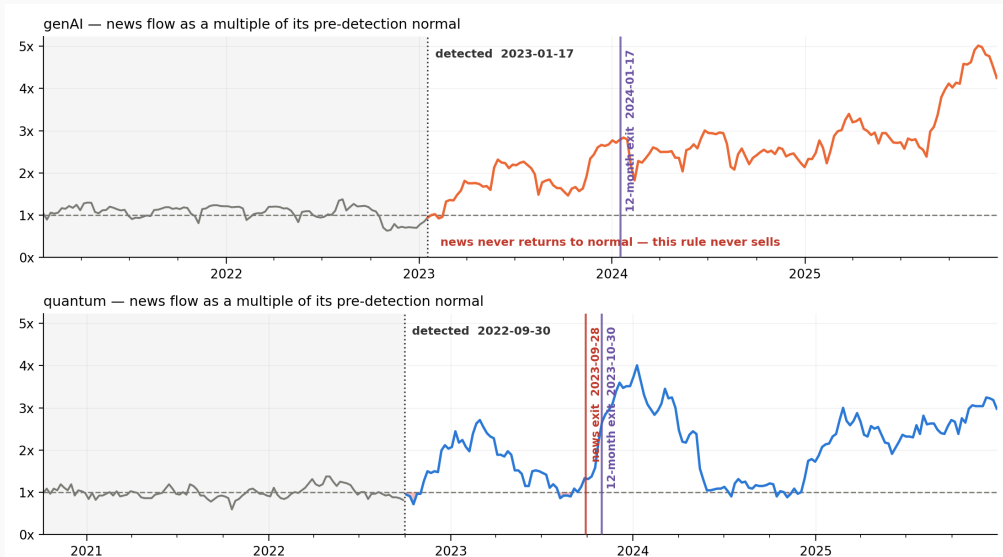
We count how many news headlines a week mention the theme, and compare that to **how loud it was before we ever heard of it**:

$$\text{news level} = \frac{\text{headlines a week, last 12 weeks}}{\text{headlines a week, the year before we bought}}$$

- **3x** means the theme is talked about three times as much as it used to be.
- **1x** means the news is back to normal — as if the theme had never happened.

We use the theme's own word list — the same words we searched company filings with to build the basket. Nothing new was invented for this.

What the two themes actually did



The two rules we test

News exit

Sell once the news has been **back to normal for a month**.

The theme has to get loud first — otherwise the rule sells us out a month after we buy, every time, because the 12-week average has not caught up yet.

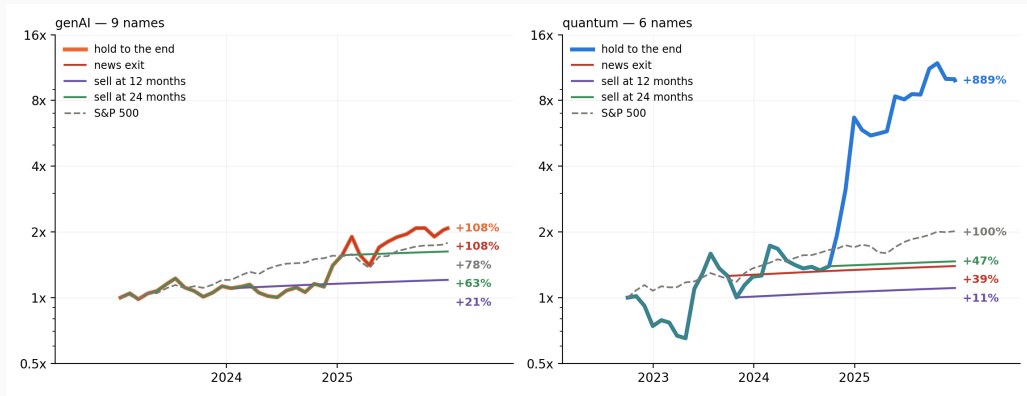
Fixed horizon

Sell after **12 months**. Then after **24**.

No cleverness at all. This is the baseline the news rule has to beat — if it cannot, it is not telling us anything.

We also compare both against simply **holding to the end**, and against the **S&P 500** run through identical machinery.

What each rule would have done to the money



Flat lines are cash after the rule sold. On **genAI** the news rule never sells, so its line sits exactly on top of *hold*. On **quantum** all three rules sell before the run.

The numbers

rule	genAI				quantum			
	total	vol	worst fall	Sharpe	total	vol	worst fall	Sharpe
hold to the end	+108%	9%	-26%	0.79	+889%	27%	-37%	1.05
news exit	+108%	9%	-26%	0.79	+39%	13%	-36%	0.29
sell at 12 months	+21%	3%	-18%	0.20	+11%	13%	-37%	0.15
sell at 24 months	+63%	6%	-18%	0.64	+47%	15%	-37%	0.34
S&P 500	+78%	4%	-14%	1.20	+100%	4%	-9%	1.39

- On **genAI** the news rule never sells, so it is identical to holding. That is the rule working correctly — the theme never went quiet.
- On **quantum** it sells, and costs +889% → +39%.
- Selling on a clock is worse still, and neither rule beats the index on Sharpe.

Why the news rule fails on quantum

1. **It sold into a pause, not an ending.** Quantum's news went quiet for six weeks in August–September 2023. By December it was back to **3.5x**. We sold at the bottom of a lull and the story had two more years to run.
2. **And the rule could never buy back.** We built it to close once and stop — the simplest possible version. That is what turns a six-week quiet spell into a permanent loss.
3. **Letting it buy back makes it do nothing.** We tested that: the position is then in the market **every single month**, on both themes. The lull opened and closed *between* two rebalance dates — checking monthly, we never see it.

The only version of the news rule that does not lose money is the one that never fires.

The honest line

- Both themes made **nearly all their money in the last third of the window**. Quantum's entire run is late 2024 onward. Anything that sells early gives that up — so this test was always going to be hard on exit rules.
- We have **two themes and one entry each**. That is not a sample. Nothing here shows that exits do not work in general; it shows that on the only two themes we have, every simple exit fired before the payoff.
- What we can say is narrower and still useful: **a monthly check on news flow is too slow to time these moves**. The news and the price are not synchronised tightly enough at that frequency for one to trade the other.

Where this leaves us

- **The pipeline is complete.** There is a sell box, it runs end to end, and it applies to all eight baskets identically. That was the point of the exercise.
- **Its default is: don't sell.** On the evidence we have, holding beats every rule we tried. We would rather ship that than a rule that flatters a backtest.
- **The news level is worth keeping — as a screen, not a trigger.** It described both themes correctly: genAI never went quiet, quantum paused twice and came back twice. That is real information for a desk, and it belongs on a monitor.

What would change our minds: more themes. The next useful thing is not a better rule, it is a bigger sample — including themes that genuinely died.